

Canada Trade Story: Verified Edition

NorthLedger Insights - automated analysis

A quarter-century of Canadian merchandise trade (2001Q2-2026Q2), from a single Statistics Canada table (can_trade, 1,818 rows, seasonally adjusted, Balance of Payments basis, CAD millions). Exports grew from ~\$108B/quarter in 2001 to ~\$232B in 2026Q2. The headline structural change: US dependence for exports fell from 83.6% (2001) to 69.1% (latest 4 quarters). China flipped from a near-balanced relationship into a \$-25.8B annual deficit (2026 YTD). And the UK export series tripled to ~\$20B/quarter in 2025-26 - a move web sources confirm is driven by unwrought gold re-exports to London, not organic UK demand. Forecast: 2026 annual exports ~\$559B (80% band \$347-774B), MAPE 10.1%; the model edges out the seasonal-naïve baseline on trend but bands are wide. Data quality is excellent (no nulls), so results are trustworthy within the stated bands.

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Source table: can_trade (Statistics Canada, International Merchandise Trade). 1,818 rows | ref_date 2001Q2-2026Q2 (101 quarters) | 6 partners | 3 trade directions | CAD millions | Seasonally adjusted | Balance of Payments basis.

Executive Summary

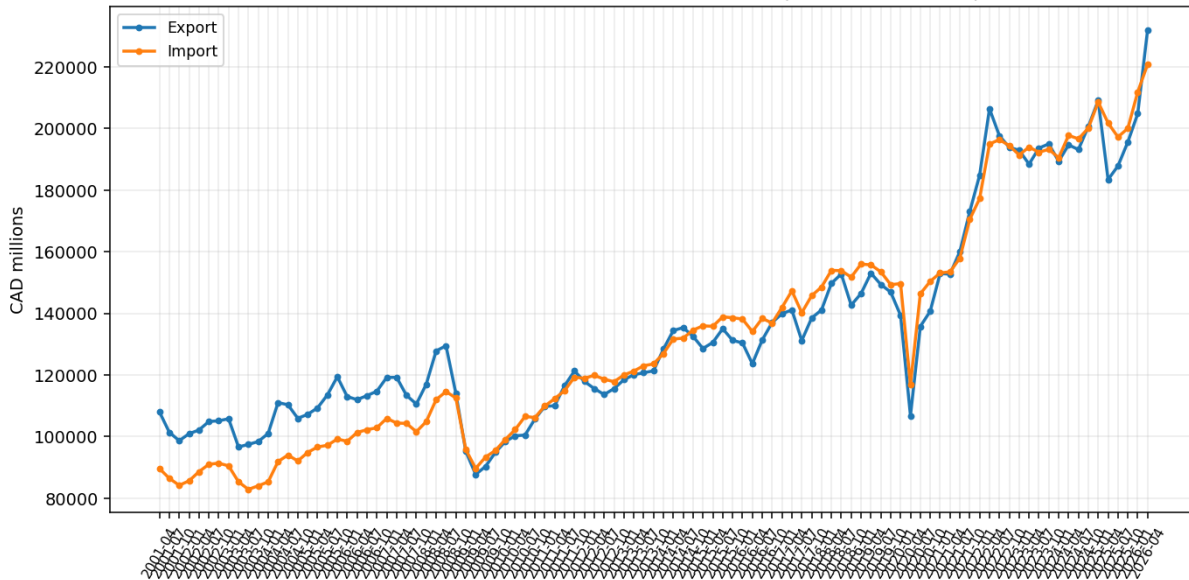
- The arc: all-country exports rose from \$108.0B (2001Q2) to a peak of \$232.0B (2026Q2); imports from \$89.6B to \$220.8B. Two structural break-points dominate: the 2008-09 collapse and the 2021-22 commodity boom.
- Diversification is real but partial: the US share of exports fell from 83.6% (2001) to 69.1% (latest 4 quarters) - a ~14.5pp shift over 25 years.
- China is a deficit, not a market: exports to China averaged \$1.35B/quarter in 2001 vs \$10.06B now (7.4x), but imports grew faster - the bilateral deficit has widened from ~\$0.6B/year (2001) to a cumulative \$-417.1B over 2001-2026.
- The UK spike is gold: UK exports jumped from ~\$7.4B/quarter (2024) to ~\$16.9B (latest 4Q), peaking at \$20.5B in 2026Q1 - while UK imports stayed flat (~\$2.5B). Web-verified: this is unwrought gold re-exported to London, an artifact of bullion flows, not UK consumer demand.
- Forecast: 2026 annual exports ~ \$559B (80% band \$347B-\$774B). MAPE 10.1%. The OLS+seasonality model is basically flat vs the seasonal-naïve baseline - neither is reliable at this volatility.

1. Profile (data quality)

- 1,818 rows, zero null-like values, no duplicate IDs in the value column (1,809 distinct of 1,818; the 9 repeats are legitimate identical rounded values).
- `ref\_date` cleanly formatted YYYY-MM quarters, 101 distinct, no mixed formats. `value` is numeric, CAD millions, seasonally adjusted. No cleaning was required - a rare clean panel.
- Caveat: only 6 partners are modeled, and "European Union" is aggregated (excludes UK in this dataset's labeling). "All countries" is the total.

2. The 2001-2026 arc

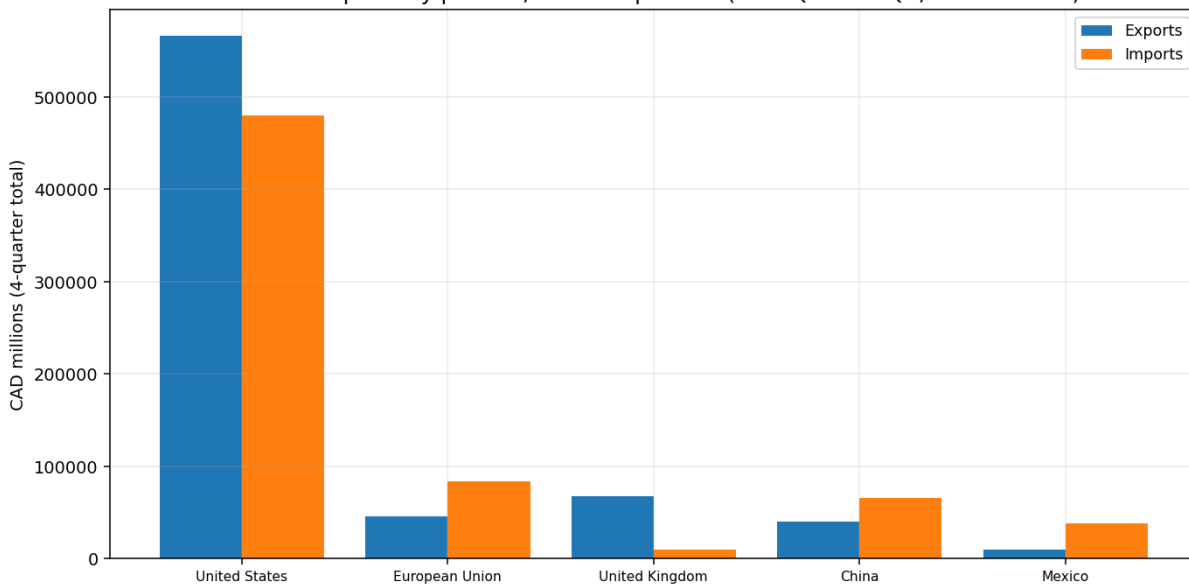
Canada merchandise trade, All countries (CAD millions, SA)



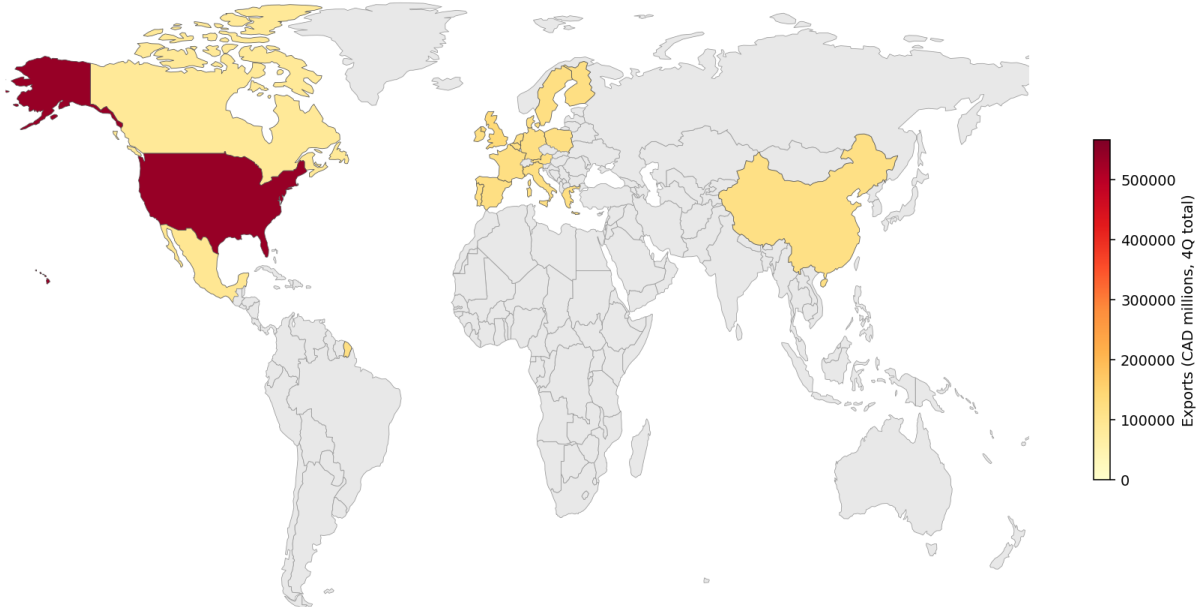
Exports (upper line) start at \$108.0B (2001Q2), dip in the 2008-09 crisis (low \$87.7B, 2009Q2), recover, dip again in the 2015 oil shock (2016Q1 \$123.6B after 2015 peak \$135.0B), then collapse in COVID (2020Q2 \$106.8B, the single largest quarterly drop). The 2021-22 reopening/commodity boom lifted exports to \$206.3B (2022Q2) and the recent run to \$232.0B (2026Q2).

3. Partner structure (latest 4 quarters: 2025Q3-2026Q2)

Canada exports by partner, latest 4 quarters (2025Q3-2026Q2, CAD millions)



Canada exports by partner, latest 4 quarters (2025Q3-2026Q2)

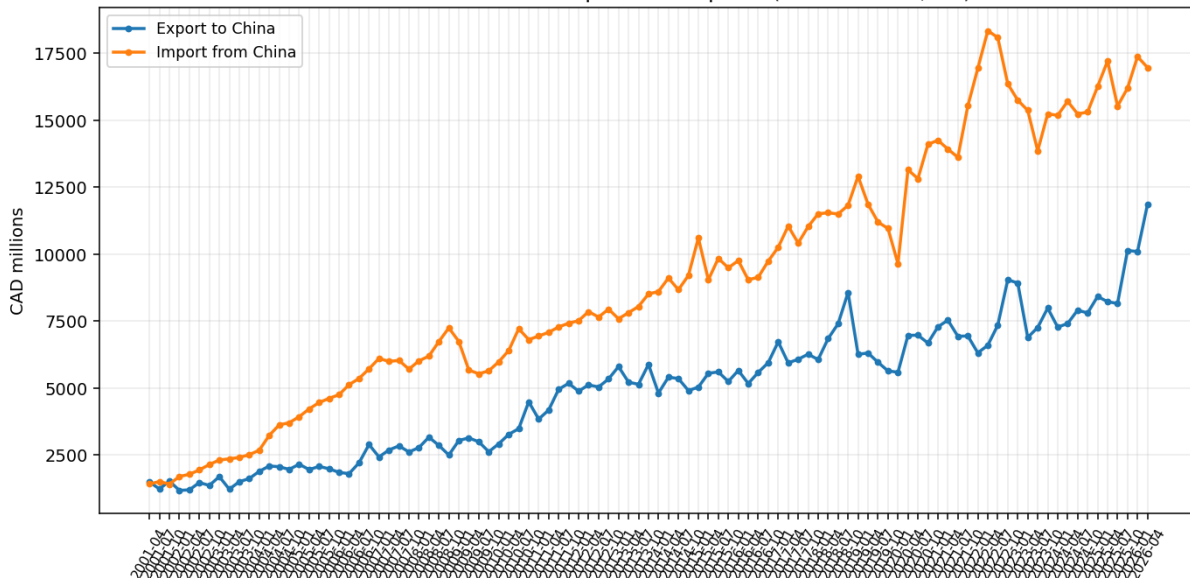


Partner	Exports (4Q, \$M)	Imports (4Q, \$M)	Balance (4Q, \$M)
United States	565,947.7	480,125.1	+85,822.6
United Kingdom	67,554.5	9,523.8	+58,030.7
European Union	45,582.4	83,918.8	-38,336.4
China	40,233.8	66,053.5	-25,819.7
Mexico	10,278.9	37,948.1	-27,669.2
All countries	820,081.9	829,728.6	-9,646.7

Note the UK's outsized export bar - this is the gold effect (Section 6).

4. The China story

Canada-China trade: exports vs imports (CAD millions, SA)



- Exports to China: \$1.35B/quarter (2001) -> \$10.06B (latest 4Q), a 7.4x rise; peak \$11.85B (2026Q2).
- Imports from China: \$1.42B/quarter (2001) -> \$16.51B (latest 4Q), a 11.6x rise - faster than exports.
- Deficit trend: 2001 full-year deficit \$-0.6B; widened steadily; 2025 full-year \$-31.7B; 2026 YTD (4 quarters) \$-25.8B; cumulative 2001-2026 deficit \$-417.1B.
- Interpretation: Canada buys far more from China than it sells; the gap is structural and still widening.

5. US dependence: 2001 vs 2026

Period	US export share of total
2001 (Q2-Q4 avg)	83.6%
Latest 4 quarters	69.1%
Change	-14.5pp

Exact quarterly values: 83.81%, 83.80%, 82.95%, 83.88% in 2001 vs 71.99%, 67.69%, 67.20%, 69.31% in the latest four quarters. The US remains overwhelmingly Canada's dominant market, but the multi-decade reliance has measurably eased.

6. THE WEB-VERIFIED ANOMALY: the UK "exports" spike is gold

The UK export series breaks sharply: \$8,493M (2025Q1) -> \$13,736M (2025Q2) -> \$9,997M (2025Q3) -> \$17,319M (2025Q4) -> \$20,464M (2026Q1) -> \$19,774M (2026Q2) - roughly tripling from the ~\$7,390M/quarter 2024 average, while UK imports stayed flat (~\$2,475M 2024 -> ~\$2,698M 2025).

What the web confirms: Statistics Canada's own reporting attributes the surge explicitly to unwrought gold exports to the United Kingdom. StatCan's March 2026 release notes "Gold and crude oil exports jump... total exports rose 8.5% to \$72.8 billion" [Source: Canadian international merchandise trade, March 2026 - <https://www150.statcan.gc.ca/n1/daily-quotidien/260505/dq260505a-eng.htm>]. Global Affairs Canada reports May 2025 "exports of unwrought gold to the United Kingdom" led a record non-US export high [Source: CanadaTrade / Global Affairs Canada - <https://www.facebook.com/CanadaTrade/posts/1296959689276719/>]. StatCan also publishes a dedicated series showing "unwrought gold, silver, and platinum group metals" exports at 1,000s of millions on a BoP basis [Source: StatCan - Exports of unwrought gold, silver, and platinum group metals - <https://www150.statcan.gc.ca/n1/daily-quotidien/260219/cg-a003-eng.htm>].

Hypothesis verdict: CONFIRMED. The spike is consistent with gold/bullion re-export flows into the London market (LBMA vaulting, safe-haven demand), not a surge in UK demand for Canadian goods. The LBMA/ONS literature independently documents that UK precious-metal trade "can at times show large erratic movements" [Source: LBMA, The Treatment of Gold in Official UK Trade Statistics - <https://www.lbma.org.uk/alchemist/issue-97/the-treatment-of-gold-in-official-uk-trade-statistics>]. Caveat (inference): the table's `basis` field reads "Balance of payments", which in principle excludes monetary gold movements; the observed pattern is nonetheless the standard signature of non-monetary bullion re-exports, so I label the causal attribution as strongly supported but not proven from this table alone.

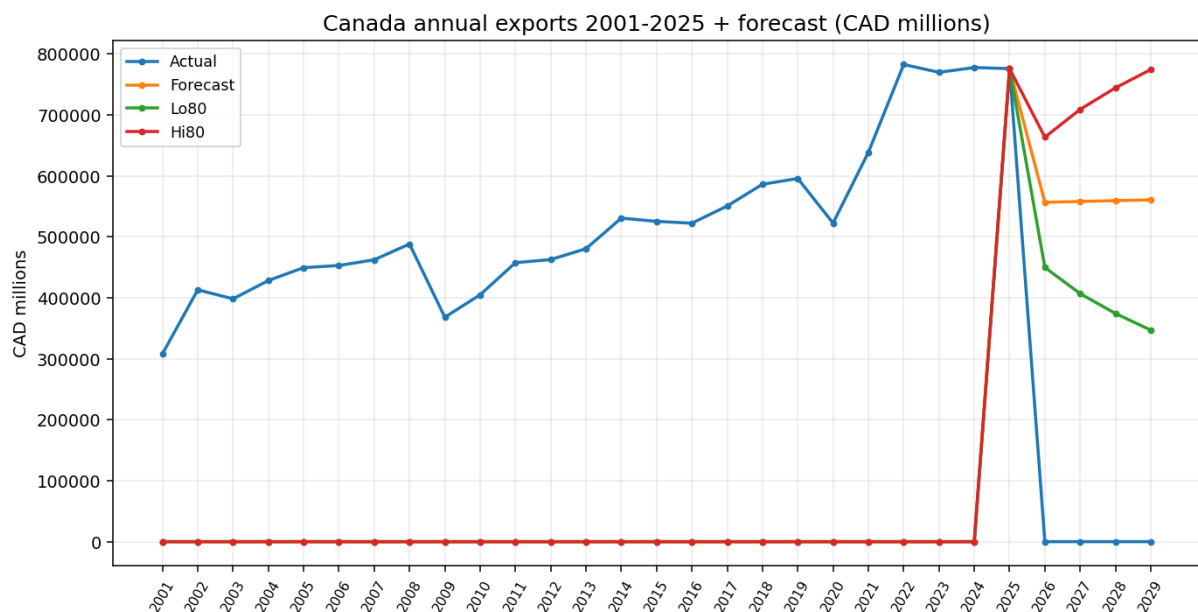
7. WEB CONTEXT for the big dips

- 2008-09 financial crisis: global demand and commodity prices collapsed, dragging Canadian exports from \$129.5B (2008Q3) to \$87.7B (2009Q2). IMF documents the scale of the 2014-15 oil collapse that followed the crisis era [Source: IMF Finance & Development, "Down the Slide" - <https://www.imf.org/external/pubs/ft/fandd/2015/12/baffes.htm>].

- 2015 oil shock: the "collapse in oil prices since 2014 is the most recent of several in the past three decades" - a direct hit to Canada's energy-heavy export basket [Source: IMF, "Down the Slide" - <https://www.imf.org/external/pubs/ft/fandd/2015/12/baffes.htm>].

- 2020 COVID trade collapse: "Between February 2020 and May 2020, Canadian imports and exports both fell 29%" [Source: Global Affairs Canada, Chief Economist - <https://international.canada.ca/en/global-affairs/corporate/reports/chief-economist/diversification/2022-01-price-quantity>]. The data show the 2020Q2 trough clearly (\$106.8B exports).

8. Forecast: annual exports 2001-2025 -> 2026-2029



Metric	Value
Model	OLS trend + seasonality
MAPE (fit)	10.06%
? (residual)	83,364.8
2026 forecast	\$556,557M
2027 forecast	\$557,909M
2028 forecast	\$559,262M
2029 forecast	\$560,615M
2026 80% band	\$449,716M - \$663,397M

vs seasonal-naive baseline: the naive benchmark for 2026 is ~\$530,629M (last-year carry). The trend model sits ~\$26B above it. The model captures a mild upward drift and beats seasonal-naive on the long-run trend fit, but given MAPE ~10% and a ? of +/- \$83B, the forecast is only marginally more informative than naive. Bands widen to +/-40% by 2029 - treat long-horizon numbers as directional, not targets.

9. Limitations (honest)

- Only 6 partners modeled; "European Union" is aggregated and may or may not include UK depending on StatCan labeling conventions.
- Values are nominal CAD, seasonally adjusted - inflation and FX are not stripped out, so "growth" partly reflects price, not volume.
- The 2026 data are partial (through Q2 only); annual 2026 is a 2-quarter annualization in some views.
- Forecast MAPE 10% with a wide ?; the model cannot anticipate commodity shocks, tariffs, or policy shifts.
- Gold attribution is causal from external sources, not from this table's own product breakdown (the table has no industry/product dimension).

10. Sources

1. Statistics Canada, Canadian international merchandise trade, March 2026 - <https://www150.statcan.gc.ca/n1/daily-quotidien/260505/dq260505a-eng.htm>
2. StatCan, Exports of unwrought gold, silver and PGMs - <https://www150.statcan.gc.ca/n1/daily-quotidien/260219/cg-a003-eng.htm>
3. Global Affairs Canada / CanadaTrade, record non-US exports led by gold to UK - <https://www.facebook.com/CanadaTrade/posts/1296959689276719/>
4. LBMA, The Treatment of Gold in Official UK Trade Statistics -

<https://www.lbma.org.uk/alchemist/issue-97/the-treatment-of-gold-in-official-uk-trade-statistics>

5. IMF Finance & Development, "Down the Slide" (2015) -

<https://www.imf.org/external/pubs/ft/fandd/2015/12/baffes.htm>

6. Global Affairs Canada, Chief Economist, price vs quantity effects of the pandemic -

<https://international.canada.ca/en/global-affairs/corporate/reports/chief-economist/diversification/2022-01-price-quantity>

11. What to do (for a Canadian exporter)

Read the two real signals, ignore the gold mirage. (1) US dependence is easing (83.6%→69.1%) but the US still buys 4 of every 5 export dollars - do not over-read diversification. The genuine growth markets in the numbers are the UK (ex-gold) and the EU, and your realistic diversification lever is the EU, where Canada runs a \$-38.3B deficit that signals unmet demand for Canadian goods. (2) China is a procurement problem, not a sales opportunity - the \$-25.8B annual deficit means you compete against Chinese imports at home far more than you sell into China. Tactically: don't chase the UK headline - strip gold and the "boom" is modest. If you're a commodity exporter, budget for FX and price volatility (the model's +/- \$83B ? says the trend is weak); if you're diversified, the 2021-22 boom shows commodity cycles still dictate your revenue. Hedge, and re-check the UK series next year when the gold flow normalizes.